

13. S-CV-0056373 City of Lincoln v. Shelgren, Christian A

Petition for order to abate substandard building; appointment of receiver; requiring reimbursement

Petitioner seeks a court order to abate substandard building; order to appointment of receiver; and an order requiring reimbursement.

The court previously twice continued the matter for insufficient notice of hearing on interested parties and lack of proper proof of service of summons for the respondent. After the two continuances, petitioner sent notice of hearing to all interested parties and filed proper proof of service for the respondent property owner.

The motion on the petition to abate substandard building, appoint receiver, and require reimbursement is granted. The court finds notice was properly given to respondent and interested parties and the factors in Health and Safety Code section 17980.7, subdivision (c) support the appointment of a receiver. (Health & Safe. Code, §§ 17980.6, 17980.7, subd. (c).) The court incorporates by reference the findings outlined in the proposed receivership order lodged with the court on October 24, 2025.

14. S-CV-0056993 Stepanov, Ivan v. Uren, Brittany Leann

The demurrer to the second cause of action of the complaint is dropped as moot in light of the dismissal of the second cause of action of the complaint filed on May 7, 2026.

15. S-CV-0057073 Foulk, Steven R v. LoanDepot.com

If oral argument is requested, it will be heard in Department 32 by the Honorable Trisha J. Hirashima.

Plaintiff is advised the notice of motion must include notice of the court's tentative ruling procedures. (Local Rule 20.2.3(C).)

Motion for Preliminary Injunction

Plaintiff moves for a preliminary injunction against defendant Selene Finance LP ("Selene") pursuant to Code of Civil Procedure sections 526 and 527. Specifically, plaintiff seeks a court order requiring defendant to pay all homeowner's insurance premiums from plaintiff's escrow account, to refrain from collecting or demanding monthly mortgage payments in excess of the agreed-upon amounts, and to refrain from initiating or advancing any foreclosure-based proceedings. Defendant Selene opposes the motion.

The court may grant a preliminary injunction when it appears from the complaint plaintiff is entitled to the demanded relief and plaintiff would suffer irreparable injury if the enjoined action were allowed to proceed. (Code Civ. Proc., § 526, subd. (a).) In making this determination, "the court must consider whether the party seeking the injunction is

likely to prevail on the merits” and balances the relative harm to the parties. (*Mitsui Manufacturers Bank v. Texas Commerce Bank-Ford Worth* (1984) 159 Cal.App.3d 1051, 1059.) The plaintiff has the burden of showing they would be harmed without a preliminary injunction. (*Casmalia Resources, Ltd. v. County of Santa Barbara* (1987) 195 Cal.App.3d 827, 838.) The more likely it is a party will prevail on the merits, the less severe harm need be shown, particularly where the injunction maintains rather than alters the status quo. (*King v. Meese* (1987) 43 Cal.3d 1217, 1227; *Bennett v. Lew* (1984) 151 Cal.App.3d 1177.) In making its determination, the court may consider a verified complaint or affidavits. (Code Civ. Proc., § 527, subd. (a).)

The current operative pleading is the first amended complaint, which is not verified, and alleges against Selene claims for breach of independent servicing obligations, declaratory relief, accounting, injunctive relief, violation of the Real Estate Settlement Procedures Act (12 U.S.C., § 2605), unjust enrichment, negligent servicing, and breach of the implied covenant of good faith and fair dealing. In support of the motion, plaintiff submits his declaration with several exhibits. Plaintiff declares his lender and initial loan servicer LoanDepot LLC (not a party to this motion), at the outset of the mortgage agreement, immediately began demanding and collecting monthly payments in excess of their agreement and failed to make insurance payments from an escrow account. Plaintiff declares defendant Selene assumed loan servicing on February 1, 2026, acknowledged its escrow obligations in its welcome letter, but then failed to timely make insurance payments in violation of Title 12 of the United States Code, section 2605(g). Plaintiff acknowledges Selene has since made payments on both insurance policies which are both current and active, but that they will come up for renewal in October 2026 and May 2027. Plaintiff also declares that Selene continues LoanDepot’s practice of demanding monthly payments in excess of their agreement. Plaintiff also declares he sent Qualified Written Requests to Selene on February 17, 2026 and that while Selene responded on March 18, 2026 and April 23, 2026, both responses were deficient and did not meet the requirements of Title 12 of the United States Code, section 2605(e).

Plaintiff does not provide either of Selene’s responses to his demand letter. Also, plaintiff does not provide the loan agreement between him and LoanDepot. On the record before the court plaintiff falls short of showing a likelihood of success on the merits as to a violation of Title 12 of the United States Code section 2605(g). While plaintiff argues a likelihood of success on the merits as to unjust enrichment, that claim is also based on the premise that Selene is collecting higher monthly payments than the loan agreement with LoanDepot had provided for. Again, as the loan agreement has not been provided the court cannot make this determination.

Based on the foregoing, plaintiff made an insufficient showing as to his likelihood of success on the merits. The court need not and does not reach the second prong of the analysis pertaining to irreparable harm. The motion for preliminary injunction is denied without prejudice.